# LAST MINUTE REVISION GUIDE

Unit 5 and 6

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# Unit 5

## MEASURES OF LIVING STANDARD

- **GDP per capita**
- **Human Development of Index (HDI):-** A measure used by UNDP with three different index;
  - ✓ **Income index;** measures Gross national income of the country
  - ✓ **Education index;** measures the average years of schooling of a country
  - ✓ **Health index;** measures the life expectancy(average number of years a person can live)
  - ✓ Has a value between 0 to 1
  - ✓ 0 to 0.4 means low human development. 0.5 means medium and 0.6 to 1 means high human development

## LIMITATION OF HDI

- Though it is better than GDP
- Inequality is not included
- External costs ignored
- Different exchange rates could make difference

## OTHER MEASURES OF LIVING STANDARD

- Education
- Health
- Housing
- Infrastructures
- Doctors per patient

| DEVELOPING COUNTRIES | DEVELOPED COUNTRIES |
|---|---|
| **A developing country, also called a less-developed country, is a nation with a lower standard of living, underdeveloped industrial base, and low Human Development Index (HDI) relative to other countries** | A developed country, industrialized country, or "more economically developed country" (MEDC), is a sovereign state that has a highly developed economy and advanced technological infrastructure relative to other less industrialized nations |
| **CHARACTERISTICS/ why Difference in living standard?** | |
| • **High population growth**<br>• **More % of people employed in primary sector**<br>• **High birth rates and death rates**<br>• **High infant mortality rates**<br>• **Poor education and health**<br>• **Low life expectancy**<br>• **Poor housing and infrastructure**<br>• **Low income per head** | • Low population growth<br>• More % of people employed in tertiary sector<br>• Low birth rates and death rates<br>• Low infant mortality rates<br>• Better education and health<br>• High life expectancy<br>• Better housing and infrastructure<br>• High income per head |

## POVERTY

| | |
|---|---|
| **ABSOLUTE POVERTY** | • **People are unable to get their basic needs of food shelter and clothing**<br>• **People living less than $1.25 a day** |
| **RELATIVE POVERTY** | • People are poor relative to other people<br>• Some people due to less income enjoys fewer goods compared with other people |
| **POLICIES TO REDUCE POVERTY** | • public spending on health<br>• public spending on education<br>• subsidies to consumers to help the poor<br>• subsidies to producers to enable them to lower costs and prices<br>• greater use of progressive taxation to reduce income inequalities<br>• greater use of benefits to poor people<br>• public spending on infrastructure to increase provision of jobs<br>• lower interest rates to increase demand<br>• introducing/raising a national minimum wage<br>• encouraging more multinational companies to locate in a country, e.g. through tax holidays government policies to promote growth and employment |

## POPULATION

Total number of people living in a country in a given period of time

**Census: -** The official count of population

**Demography: -** Study of population

**Household population: -** The total number of people living in one household in a given period of time

**Life expectancy: -** Average number of years a person can live from birth to death

**Infant mortality rate: -** Average number of children dies at the time of birth or before their first birthday.

## FACTORS INFLUENCING POPULATION GROWTH

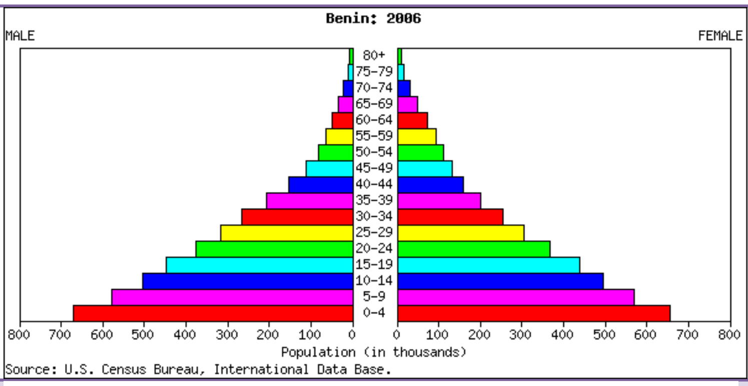
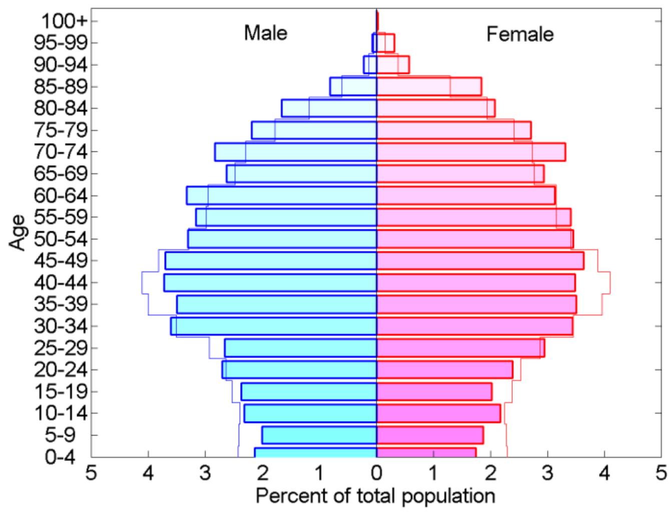
| BIRTH RATE | FACTORS INFLUENCING BIRTH RATE |
|---|---|
| **Total number of live births per thousands of population in a given period of time**<br><br>$$birth\ rate = \frac{\text{No. of live births}}{\text{total population}} x\ 1000$$ | • Age of marriage<br>• Sex preference and divorce rates<br>• Education and knowledge of family planning<br>• Availability of contraception<br>• Healthcare<br>• Social and religious beliefs<br>• Government policies |
| **DEATH RATE** | **FACTORS INFLUENCING DEATH RATE** |
| **Total number of registered deaths per thousands of population in a given period of time**<br><br>$$death\ \ rate = \frac{\text{No. of registered deaths}}{\text{total population}} x\ 1000$$ | • Medical care<br>• Availability of basic facilities<br>• Natural disasters<br>• Man-made disasters<br>• Standard of living |
| **NET MIGRATION RATE** | **FACTORS INFLUENCING MIGRATION** |
| **The difference between immigration rate and emigration rate is known as net migration rate. Immigrants are the people who come in and emigrants are the people who go out on permanent basis.**<br><br>$$Net\ migration\ rate = Immigration\ rate - emigration\ rate$$ | • Education<br>• Health<br>• Other facilities<br>• Employment<br>• Fear<br>• Costs |
| **FERTILITY RATE** | The average number of babies born per women in a given period of time |

## DISTRIBUTION OF POPULATION

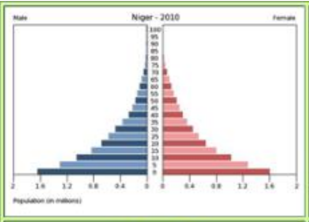
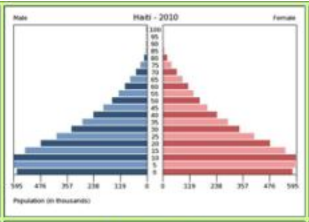
| DISTRIBUTION | EXPLANATION | DIFFERENCE IN DEVELOPING AND DEVELOPED COUNTRIES |
|---|---|---|
| **AGE DISTRIBUTION**<br>***Distribution of population into different age groups*** | • Dependent age groups and working age groups<br>• Dependents are those who are not economically active ( children and old people )<br>$\mathit{Dependency\ ratio} = \frac{\textbf{total no of dependents}}{\textbf{working age}} x\ 100$ | • In developing countries, dependent age groups are greater than working age group.<br>• In developed countries, dependent age groups are less than working age group. |
| **SEX DISTRIBUTION**<br>***Distribution of population into male and female*** | $\mathit{Sex\ ratio} = \frac{\textbf{Total no of males}}{\textbf{total no of females}} x\ 100$ | |
| **OCCUPATIONAL DISTRIBUTION**<br>***Distribution of population into different sectors*** | • Primary secondary and tertiary | • In developing countries, primary is the main sector<br>• When the country develops, the importance of secondary and tertiary increases. |
| **GEOGRAPHICAL DISTRIBUTION**<br>***Distribution of population into different regions*** | • Urban and rural areas | • In Developed countries, more people live in urban (cities) while in developing countries; more people live in rural (village) areas. |

## POPULATION PYRAMID

A diagram which shows number of male and female in different age groups of a population in a country during a given period of time

| | |
|---|---|
| **DEVELOPING COUNTRY** |  |
| **DEVELOPED COUNTRY** |  |

### DIFFERENT STAGES

|  |  |  |  |
|---|---|---|---|
| **Stage 1** | **Stage 2** | **Stage 3** | **Stage 4** |
| Expansive. | Expansive. | Stationary. | Contractive. |
| Concave sides. | Straight sides. | Convex sides. | Convex sides. |
| High birth rate. | Still high birth rate. | Declining birth rate. | Very low birth rate. |
| High death rate. | Falling death rate. | Low death rate. | Low death rate. |
| Short life expectancy. | Slightly longer life expectancy. | Long life expectancy. | Longer life expectancy. |
| Rapid fall in each upward age group due to high DR. | Fall in DR so more people living into middle age. | An increasing proportion of the population is in the 65+ age group. | Higher dependency ratio. |
| Niger | Haiti | Morocco | Australia |

# DIFFERENT STAGES OF POPULATION

| | |
|---|---|
| **OVER POPULATION**<br>***When there are more people compared with the resources*** | **Causes**<br>• Decline in the Death Rate<br>• Better Medical Facilities<br>• More Hands to Overcome Poverty<br>• Technological Advancement in Fertility Treatment<br>• Immigration<br>• Lack of Family Planning<br>Effects<br>• Depletion of Natural Resources<br>• Degradation of Environment<br>• Conflicts and Wars<br>• Rise in Unemployment<br>• High Cost of Living<br><br>Solution<br>• Better Education<br>• Making People Aware of Family Planning<br>• Tax Benefits or Concessions<br>• Knowledge of Sex Education |
| **UNDER POPULATION**<br>***When there are less people compared with the resources*** | **Causes**<br>• Abundant resources<br>• availability of employment<br>• Low pressure on social amenities<br>• Low congestion<br>• Adequate planning<br>• Low crime rate<br><br>**Effects**<br>• Poor allocation of resource<br>• Low production<br>• Low income<br>• Low investment and saving<br>• Under production<br>• Low income per head<br>• Less environmental impact<br><br>**Solution**<br>• Increase population |
| **OPTIMUM POPULATION**<br>***When the population is sufficient to meet the resources available*** | The population is such that it can maximize the benefits from the resources available. It is only when we have optimum population that the quality of life is maximized. |

## AGEING POPULATION

- This is where people are generally living longer
- The average age of people in a country increases
- More older people as a proportion of the population

## CONSEQUENCES OF AGEING POPULATION

- Increase need for health care
- Tax revenue used to provide health care could have been used for another purpose/opportunity cost
- Increase cost of pensions
- Place a tax burden on workers
- Increase the dependency ratio
- Proportionally more non-workers will have to be supported by proportionally fewer workers reduce mobility of the labour force
- Older workers may be less geographically/ occupationally mobile
- A rise in the average age from a young age
- May reduce dependency ratio
- Older workers may be more experienced leading to higher productivity
- Ageing population may not increase dependency ratio/cost of pensions
- If retirement age is raised  longer life expectancy raise living standards

## CONSEUQNCES OF POPULATION CHANGES

| POPULATION | ADVANTAGES | DISADVANTAGES |
|---|---|---|
| **INCREASING** | • Increase demand and supply<br>• Jobs can be found<br>• Increase productivity<br>• Possible higher tax revenue<br>• Higher GDP | • Pressure on resources<br>• Overcrowding<br>• Environmental impact<br>• High unemployment rate |
| **DECREASING** | • Reduce overcrowding<br>• Reduce environmental impact<br>• Reduce the need for social capital | • Less efficient allocation of resources<br>• Falling output per head<br>• Fewer consumer leading falling revenue<br>• Possible unemployment<br>• May increase dependency ratio |

# Unit 6

## INTERNATIONAL SPECIALISATION

| | |
|---|---|
| **MEANING** | **A process of a country concentrating on producing those goods and services in which they have an advantage** |
| **BENEFITS** | • Efficiency in production<br>• Absolute advantage( where one country is able to produce more and with low cost than other)<br>• Comparative advantage ( where one country is able to produce at lower opportunity cost than another)<br>• Increased output<br>• Superior factor endowments<br>• Consumers all over the world benefit<br>• Increasing their standard of living<br>• Increase market size and economies of scale<br>• Build up reputation |
| **DISADVANTAGES** | • May be at risk if a substitute is available near by<br>• May be at risk if the raw materials are imported<br>• May be at risk if the exchange rate changes<br>• Decline in demand for other type of goods and services |

## CURRENT ACCOUNT OF BALANCE OF PAYMENT

### Structure of current account

- **Visible trade: -** Records trade in goods such as oil, steel etc. It is calculated by subtracting visible imports from visible exports. If exports of goods are greater than imports, visible trade is in surplus. If imports of goods are greater than exports, visible trade is in deficit. This is sometimes called **trade balance**.
- **Invisible trade: -** Records trade in services such as tourism, healthcare etc. It is calculated by subtracting invisible imports from invisible exports. If exports of services are greater than imports, invisible trade is in surplus. If imports of services are greater than exports, invisible trade is in deficit.
- **Income flows: -** Inflows and outflows of income from employment and investments are recorded. Examples could include wages, salaries, bonus, rent, profits, dividends, interest etc.
- **Current transfer flows: -** records the value of aids, donations received from other countries and sent to other countries.
  An inflow in the balance of payment is sometimes referred as a **credit item**
  An outflow in the balance of payment is sometimes referred as a **debit item**

## CURRENT ACCOUNT DEFICIT

- Occurs when the combined value of the four sections(goods, services, incomes, aids) of the debit(outflow of money) side is greater than the combined value of the four sections of the credit(inflows of money) side in the current account.
- A current account deficit may occur without a deficit in all the four sections

## CAUSES OF CURRENT ACCOUNT DEFICIT

- Lack of factor endowments
- Economic growth in the country
- Lower growth in other countries
- A higher exchange rate

## CONSEQUENCES OF CURRENT ACCOUNT DEFICIT

- Spending beyond their means
- Imported inflation
- Lower output
- Lower employment and income
- Lower pressure on exchange rate

## HOW TO OVERCOME CURRENT ACCOUNT DEFCIT

- To reduce imports, use trade barriers
- Subsidies to encourage domestic production
- Lowering the exchange rate to make exports cheaper and imports expensive
- Encouraging MNC's and foreign investment
- SEZ ( Special Economic Zone)

## CURRENT ACCOUNT SURPLUS

- Occurs when the combined value of the four sections(goods, services, incomes, aids) of the credit(inflow of money) side is greater than the combined value of the four sections of the debit(outflows of money) side in the current account.
- A current account surplus may occur without a surplus in all the four sections

## CAUSES OF CURRENT ACCOUNT SURPLUS

- Better factor endowments
- Lower Economic growth in the country
- Higher growth in other countries
- A lower exchange rate

## CONSEQUENCES OF CURRENT ACCOUNT SURPLUS

- Foreign currencies
- Higher output
- Higher employment and income
- A higher pressure on exchange rate
- Lower debt
- Possible inflation

## EXCHANGE RATE

The rate of one currency expressed in terms of another currency

## TYPES OF EXCHANGE RATE

<table>
<tr><th>TYPES</th><th>ADVANTAGES</th><th>DISADVANTAGES</th></tr>
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**FIXED**

- **A type of exchange rate where the rate is fixed against other currencies by the government or central bank.**
- **Government maintains the fixed exchange rate using its *foreign exchange reserve* and *interest rates.***
- ***If the value is falling, they step in to buy more currency. And if the value is rising, they step in to sell more currency.***
- ***Interest are raised to encourage more saving if the value is falling and lowered when the exchange rate is rising.***

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- Certain
- Improve investors' confidence
- Increase trade and investment
- No speculative movement in exchange rate

***Speculation is the act of trading foreign currency in the foreign exchange market in order to make profit. The people who do this task is the speculator***

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- Government reserve is used to maintain it
- Reserve cannot be used for other purpose
- If the rate is fixed at a higher rate, then BOP could be unfavorable

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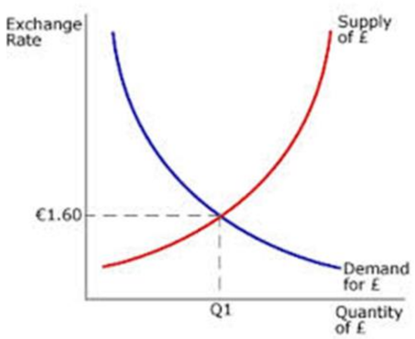
**FLOATING**

- **A type of exchange rate where the rate is determined by the market forces of demand and supply of the currency.**
- **Changes in demand and supply brings changes in exchange arte**

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- Market determined rates are the best rates for buyers and sellers
- No need of government foreign currency reserve to maintain
- So government can focus other areas

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- Instability
- Reduce confidence
- Reduce trade and investment
- Lots of speculative movement in exchange rate

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**MANAGED FLOATING**

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An exchange rate type where market forces and government play a certain role in determining and maintaining.

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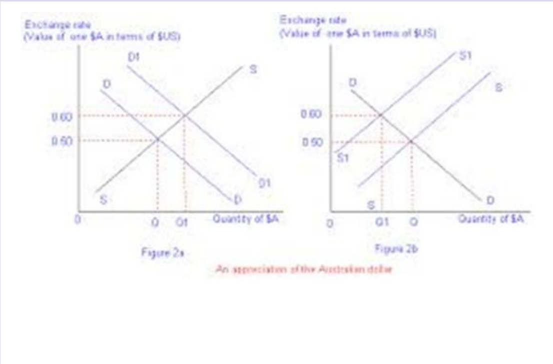
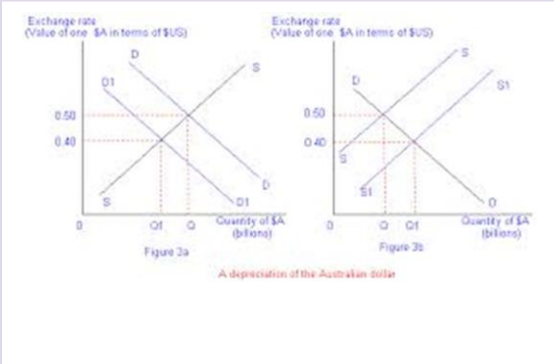
## CAUSES OF EXCHANGE RATE FLUCTUATIONS

## TYPES OF FLUCTUATIONS

| APPRECIATION | DEPRECIATION |
|---|---|
| **Increasing the value of the currency against other currencies due to the changes in the market forces of demand and supply in floating exchange rate** | **Falling the value of the currency against other currencies due to the changes in the market forces of demand and supply in floating exchange rate** |




| REVALUATION | DEVALUATION |
|---|---|
| **Government raising the value of the currency in fixed exchange rate** | Government lowering the value of the currency in fixed exchange rate |

## CAUSES OF EXCHANGE RATE FLUCTUATIONS

- Demand for the currency
- Supply of the currency
- Inflation
- Interest rate
- Level of exports
- Level of imports
- State of the economy
- Speculations
- Business activity
- Economic growth

## CONSEQUENCES OF EXCHANGE RATE FLUCTUATIONS

| APPRECIATION | DEPRECIATION |
|---|---|
| $1us\$ = 15.42\ mvr\ TO\ 1us\$ = 10mvr$ | $1us\$ = 15.42\ mvr\ TO\ 1us\$ = 19mvr$ |
| • **Exports expensive**<br>• **Exports revenue falls if demand for exports is elastic. ( may not fall if demand for exports are inelastic)**<br>• **Imports cheaper**<br>• **Imports expenditures rise**<br>• **When imports are greater than exports, BOP unfavorable(deficit)**<br>• **Lower output and employment** | • Exports cheaper<br>• Exports revenue rises if demand for exports is elastic. ( may not fall if demand for exports are inelastic)<br>• Imports expensive<br>• Imports expenditures fall if demand for exports is elastic. ( may not fall if demand for imports are inelastic)<br>• When exports are greater than imports, |

| | |
|---|---|
| | BOP favorable(surplus)<br>• Higher output and employment |

### TRADE

Trade between countries is known as international trade. Trade between countries without any trade restrictions are known as free trade

### FREE TRADE

| ARGUMENTS FOR /REASONS | ARGUMENTS AGAINST |
|---|---|
| • **Increased production**<br>• **Encourage specialization**<br>• **Competition**<br>• **Innovation**<br>• **Prestige**<br>• **Friendship**<br>• **Benefits to consumers**<br>• **Foreign exchange gains**<br>• **Employment**<br>• **Economic growth** | • Infant Industry Argument.<br>• Harmful goods<br>• Dumping<br>• Balance of payment deficit<br>• Culture damages |

### TARDE PROTECTION/ TRADE BARRIERS

Restriction placed on imports in order to encourage domestic production

### TYPES OF TRADE PROTECTION

- **Tariffs: -** Tax on imports. Tariffs make imported goods more expensive to buy, because the cost is passed on to consumers. Higher prices reduce demand for the imported goods and help a nation's own industries compete. Tariffs also increase government revenue, which can help reduce a nation's budget deficit.
- **Quota: -** A physical limitation on imports.
- **Subsidies:-** A financial help from government to domestic firms
- **Exchange control:-** Restriction of foreign currency for the importers
- **Embargoes:-** Complete ban on imports
- **Standards:-** are rules about the quality of imported

### ARGUMENTS FOR AND AGAINST TRADE PROTECTION

| ARGUMENTS FOR | ARGUMENTS AGAINST |
|---|---|
| • **Revenue for the government**<br>• **Avoid dumping**<br>• **Reduce harmful goods**<br>• **Encourage domestic infant industries**<br>• **Favorable BOP** | • Limit choice<br>• High price of imports<br>• Retaliation |

## TRADE BLOCS

| | TYPES | DESCRIPTION | EXAMPLES |
|---|---|---|---|
| 1 | Free trade area | • Member countries have free trade<br>• Individual tariff when trading with non-member country | NAFTA (North American Free Trade Agreement) |
| 2 | Custom union | • Member countries have free trade<br>• Common external tariff when trading with non-member country | Gulf Cooperation Council (GCC) |
| 3 | Common market | • All features of custom union<br>• Free mobility of factors of production | East African Common Market, and West African Common market. |
| 4 | Economic union | • All features of common market<br>• Common policy on trade, agriculture, manufacturing<br>• Common currency | European Union |

THE END